

TOR FOR TERMINAL FEE COLLECTION SYSTEM

Objective:

- To design and implement a cashless terminal fee collection system for bus operators at PITX that supports secure digital payment methods (e.g., e-wallets, online banking, debit/credit cards) in compliance with the Concession Agreement with DOTr.
- To reduce cash-based terminal fee transactions by at least 90% within six months of rollout, ensuring more accurate and transparent collection.
- To deploy and integrate the system with PITX's existing operational and financial infrastructure within the next 6 months, including pilot testing and phased adoption with PUV operators.
- To streamline terminal fee payments, improve accountability, reduce risks of leakage, and fulfill regulatory obligations under the Concession Agreement.
- To fully operationalize and achieve compliance by Q1 of next year, with continuous monitoring and system optimization thereafter.

Needs to be Addressed:

- The current manual, cash-based terminal fee collection from PUV operators at PITX creates inefficiencies like longer processing times, risks of leakage, administrative burdens, and difficulties in tracking payments accurately.
- Cash handling introduces security risks and limits transparency in reporting.
- PITX is required under the Concession Agreement (CA) with DOTr to ensure daily collection of terminal fees. The lack of an enhanced or automated collection process creates the risk of non-compliance with the daily collection obligation, which could undermine contractual performance and stakeholder confidence.

How will this be accomplished, and what are the expected results?

Approach: The system proposes a cashless, prepaid wallet solution integrated with **Automatic Plate Number Recognition (APNR)**, designed for PUV operators. It automates collection by deducting fees directly from an operator's wallet balance upon entry, while providing transparency via an online portal.

Key Features & Functionality:

1. **Automatic Plate Number Recognition (APNR):** Cameras at entry points scan vehicle plates, cross-check against a registered database, and link verified vehicles to their operator's wallet. This ensures accurate billing for registered vehicles.
2. **Dedicated Wallet per Operator:** Each operator has a prepaid digital wallet from which fees are automatically deducted upon entry (similar to toll collection). This eliminates manual processing and guarantees real-time fee collection.
3. **Wallet Reloading Options:** Operators can replenish via the PITX Website & Payment Gateway (linked to banks) or Onsite Loading Machines (kiosks accepting cash or cards). This ensures flexible, uninterrupted funding.

4. **PITX Website Portal (Operator Portal):** A centralized platform for operators to view balances, generate transaction history (entries, deductions, top-ups), access statements, and monitor notifications. This provides transparency and reduces disputes.
5. **Collection Reporting & Compliance:** PITX administrators get real-time dashboards showing vehicle entries, fee deductions, operator balances, and automated compliance reports for DOTr oversight and auditing. This ensures revenue assurance and fulfillment of Concession Agreement obligations.
6. **Allow negative balance,** with automated notifications sent to the Operators for reminder to reload, and automated notifications sent to PITX as warning so we can tap the attention of the operators as well
7. Customer support once deployed for concerns such as incorrect balance, load not reflected, fee not deducted, etc.

Expected Results:

- **Operational Efficiency:** Collection is fully automated with real-time deductions, reducing manual intervention and administrative overhead.
- **Collection Assurance & Transparency:** Prepaid wallets ensure fees are collected before entry, eliminating unpaid balances. Automated reporting provides auditable records to PITX and DOTr.
- **Cost Savings:** Lower manpower is needed for manual collection and reconciliation, and there is a reduction in cash handling risks (loss, theft).
- **Compliance with DOTr Concession Agreement:** The system demonstrates a commitment to modernization and enhances PITX's reputation as an advanced, cashless transport hub.
- **Stakeholder Convenience:** Bus operators get faster entry, self-service portals, and easy access to statements. PITX management gains a real-time view of collections.

II. Relevance to the Value (Innovation)

Given the Value definition, how does embody the values?

The system is a significant innovation compared to PITX's current manual, cash-based process, which is prone to delays, errors, and leakage. It embodies the value ("We embrace new methods that deliver better results") by introducing a prepaid wallet linked to APNR (Automatic Number Plate Recognition) for real-time fee deduction at the point of entry. This eliminates manual reconciliation and ensures full transparency. It sets PITX apart as a pioneer, offering operators instant access to transaction history and statements through a dedicated portal, aligning it with DOTr's modernization agenda.

How different from what was being done before or what is currently in the external market?

- **Before:** Terminal fees were collected in cash and reconciled manually, leading to delays, errors, and limited visibility. Most terminals in the country still use this setup.
- **New System:** It is automated, cashless, and data-driven, providing real-time transparency for both the terminal and the operators. This positions PITX as the **first transport terminal in the Philippines** to adopt an ANPR-linked cashless collection system, setting a new benchmark for smart and efficient terminal operations.

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